

1. PROGRAMME PURPOSE

The primary purpose is to strengthen dairy infrastructure, milk procurement, processing, and overall cooperative capacity across India. It focuses heavily on building efficient pathways for rural milk marketing.

Key interventions aim directly at improving quality metrics of milk and dairy products. It builds long term economic resilience for small-scale dairy farmers.

Official guidelines and operational parameters are listed on the [DAHD Official Portal](#).

2. ELIGIBILITY CRITERIA

Eligible entities include State Dairy Federations, District Cooperative Milk Unions, and Primary Agricultural Credit Societies (PACS) active in milk production.

Multi-state cooperative societies and producer-owned institutions matching specified regulatory profiles can also secure infrastructure grants.

Review specific state targets and structural eligibility maps on the [NDDB Framework Website](#)

3. INFRASTRUCTURE ASSETS

The fund provides assistance for installing automated milk collection units (AMCUs) and bulk milk coolers (BMCs) at the village level.

It supports establishing laboratory networks for checking quality adulteration, setting up ice-water chilling systems, and deploying clean transport lines.

Detailed asset technical requirements are hosted directly on the [Department Animal Husbandry Site](#).

4. FINANCIAL BENEFITS

Eligible projects receive significant

capital assistance based on regional priorities. Up to 90% central grant support is given to Hilly or North-Eastern areas.

For standard plain regions, matching capital grants provide up to 50% funding for chilling nodes and testing machinery configurations.

Financial allocation metrics are cross-verified on the [Schemes/Programmes | Department of animal husbandry and dairying](#)

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5. STEP APPLICATION ROUTE

Step 1: Conduct a comprehensive baseline survey of the milk cluster.

Prepare a viability map.

Step 2: Draft a Detailed Project Report (DPR) adhering to standard cost rules.

Step 3: Route the proposal through the State Level Screening Committee (SLSC) to the Central Management Unit for ultimate funding clearance.

6. MANDATORY DOCUMENTS

Applicants must submit an approved Detailed Project Report (DPR), audited financial statements covering the previous three consecutive financial cycles.

Provide clear land possession certificates or long-term registered

lease records for milk collection hub centers.

Verify your documentation requirements directly through the [National Dairy Development Board \(NDDB\)](#)

7. TYPICAL QUESTIONS

What is NPDD? A structured national programme built to enhance dairy infrastructure and milk procurement networks.

Can a cooperative apply? Yes, all eligible dairy cooperative societies and unions can proceed.

What infrastructure is backed? Bulk milk coolers, testing laboratories, and collection systems.

